fixed assets from the original purchase cost. For example if a machine was purchased for ₹1 lakh writing off at historic cost would refer to reducing ten thousands from the value of the machinery every year to arrive at the year-end value of the machinery.

In SNA consumption of fixed capital is arrived after deducting the current value of assets from the initial value of assets. The current value is estimated using various techniques available.

Consumption of fixed capital = Initial value of asset - Current value of asset

Initial value of asset is the actual value of asset at the beginning of the year and the current value of asset is the actual value of asset at the end of the year.

Production Taxes

The production taxes are taken as net of production subsidies i.e. production taxes minus production subsidies, as expenditure on account of production taxes come down to the extent of production subsidies. It is taken as **production taxes less production subsidies**. To put in formula the gross value added is as follows:

Let us assign value to the factors used for value addition to wheat and electricity to produce wheat flour.

Compensation of employees (CE) = ₹15

Operating surplus/ Mixed income (OS/MI) = ₹20

Consumption of fixed capital (CFC) = ₹10

Production taxes = ₹10

Production subsidies = ₹5

Gross value addition = 15 + 20 + 10 + (10 – 5) = 50